Faras vs Uber: Decentralized Ride-Hailing for a Fair Future

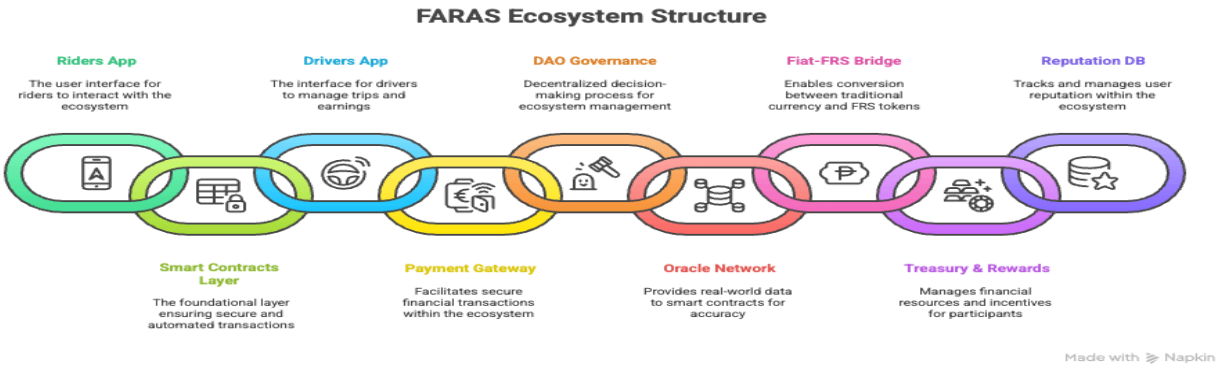
1. Executive Summary

Faras (“Horse” in Somali) is a decentralized mobility protocol in Sweden, designed to replace the centralized intermediaries that dominate ride-hailing today.
While companies like Uber and Bolt changed how to move, they also created deep structural problems like:- commissions, delayed payment, opaque algorithms and complete data control. That results in drivers feeling exploited, riders pay more and regulators struggle to enforce fairness.
Faras corrects their flaws through blockchain technology, smart contracts and community governance. It redistributes power, ownership and revenue to the people who actually create value – the drivers, the riders and the local communities.

Our system guarantees:-

- Transparent 5-10% protocol fees vs Bolt and Uber’s 25-30%
- Instant payout through automated smart contracts
- User-owned, GDPR(General Data Protection Regulation)
- Governance by the community through a DAO

Faras is built on Polygon PoS, aligned with EU, MiCA and PSD2 (Payment Services Directive 2) frameworks. We are launching our pilot in Stockholm before expanding across the Nordic region and into the broader EU market. The reason we chose it is because it’s Ethereum-compatible (EVM), offering low fees, fast transactions, and strong security anchored to Ethereum. It provides a stable and scalable Layer 2 ecosystem trusted by major brands like Nike, Meta, and Starbucks. Unlike Solana or other chains, Polygon combines enterprise reliability, developer simplicity, and future-proof zk technology, making it ideal for Web2-to-Web3 growth.



2. Target audience, market opportunity and problem solving

Drivers– the backbone of the network

Drivers are often underpaid, overworked and left without control in centralized systems. Drivers are the lifeblood of the Faras. We mean they keep 90-95% of each fare, get paid instantly in fiat or token and can stake tokens to increase their visibility. They also have voting rights in the platform policy through the DAO.

Riders– the everyday users

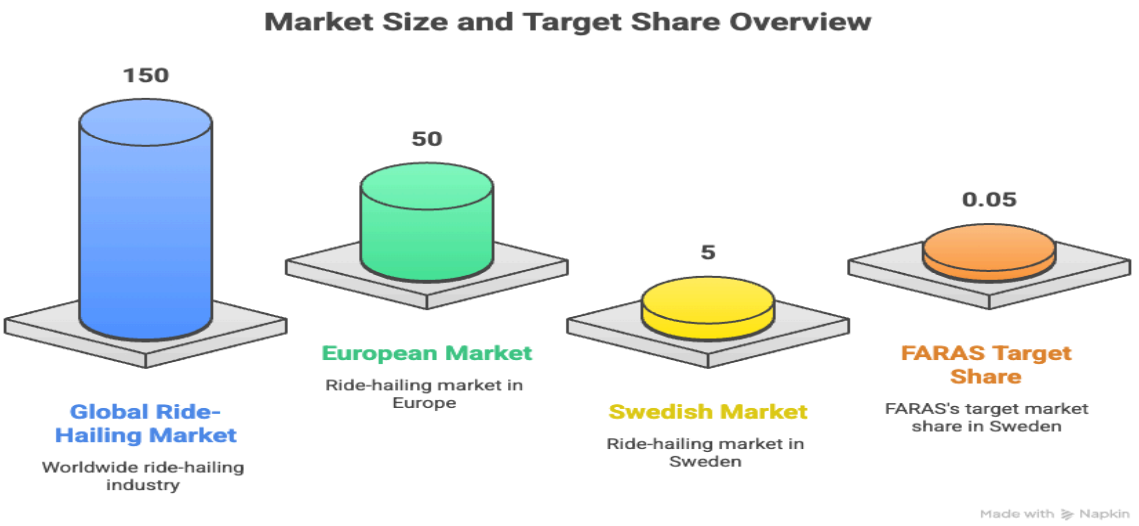
Riders care about price fairness, data privacy (for both riders and drivers) and quality service. Faras give them a stable, predictable pricing, rewards in tokens for loyalty and encrypted trip data they control.

Web3 investors and developers

These are blockchain-native builders and funds who want credible, compliant and real world use cases. Faras gives them a transparent, regulated and scalable protocol in one of the largest consumer markets in the world- mobility.

Regulators and partners

Faras is designed with regulation not against it. We work hand in hand with Swedish and EU authorities to meet MiCA, PSD2 and GDPR standards. Faras aims to be Europe's model project for compliant decentralized mobility. When it comes to market and potential, the global ride-hailing market reached $150 billion in 2024, projected to exceed $250 billion by 2030. Europe accounts for roughly 50 euro billion and Sweden's share is about 5 euro billion(statista, grand view research 2024). Capturing just 1% of the Swedish market (about 50euro million) would validate the Faras model and fund EU expansion.



The problem:- Today's ride-hailing industry faces a Mobility Trust Crisis. Centralized platforms like Uber and Bolt take 25–30% commissions, delay driver payments, and store all user data in private servers. Drivers have no voice, riders pay unpredictable prices, and regulators struggle to ensure transparency.

How FARAS Fixes It:- FARAS replaces corporate control with automated smart contracts and community governance (DAO). Every ride is priced transparently, fees are capped at 5–10%, and drivers receive instant payouts in fiat or tokens. Data stays private and belongs to users through decentralized IDs (DIDs). All decisions are approved by the FARAS DAO, not a corporate board. Competitive Landscape — Web2 vs Web3 vs FARAS

To understand how FARAS stands out, the table below compares it to both Web2 giants and Web3 startups:

Feature	Uber / Bolt (Web2)	Drife (India)	Teleport (Solana)	TADA (TON)	Trip (Solana)	FARAS (Sweden, EU)
Blockchain	❌ Centralized servers	✅ Polygon	✅ Solana	✅ TON	✅ Solana	✅ Polygon (EVM)
Take Rate / Fees	25–30% (opaque)	10–15%	10–15%	10–15%	10–15%	**5–10% (on-chain, transparent)**
Payout Speed	2–7 days	Instant	Instant	Instant	Instant	**Instant (smart contracts)**
Governance	Centralized corporate control	Partial DAO	Partial DAO	Limited DAO	Partial DAO	**Full DAO (community voting)**
Data Ownership	Platform-owned	Partial	Partial	Partial	Partial	**User-owned (GDPR-protected DIDs)**
Fiat Integration	✅ Yes	❌ No	❌ No	❌ No	❌ No	**✅ Yes (PSD2 licensed gateways)**
Stablecoin Support	❌ No	❌ No	❌ No	❌ No	❌ No	**✅ EUROC, EURS, USDC supported**
EU Compliance	❌ None	❌ No	❌ No	❌ No	❌ No	**✅ Full (MiCA, PSD2, GDPR)**
Active Regions	Global	India, Africa	USA	Asia	Beta	**🇸🇪 Sweden → EU Expansion (2025–2027)**

Reputation System	Internal, opaque	Token-based	N/A	App-based	N/A	**On-chain, portable, transparent**
Transparency & Auditability	Closed system	Partial	Partial	Partial	Partial	**Full public ledger, open audits**

Why FARAS Wins

- Against Web2: Transparent fees, instant settlement, and user-owned data instead of corporate control.
- Against Web3: EU legal compliance, hybrid fiat–crypto system, and real-world usability.
- FARAS Advantage: Combines Web2 reliability with Web3 fairness — real regulation, real usability, real impact.

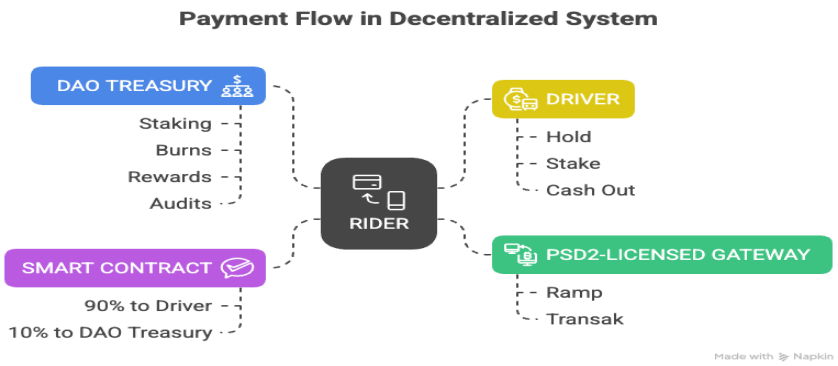
3. Product architecture and Token utility

System architecture

- Blockchain:- Polygon Pos (Evm-compatible, low fee and EU friendly).
- Data:- Stored off-chain (IPFS/Arweave) with hashes on chain for auditability.
- Identity:- Decentralized IDs + KYC oracles ensure safety and compliance.
- Governance:- DAO voting via governance token (gFARAS)

Payment flow

1. Riders pays in SEK/EUR/USD
2. PSD2- licensed gateway (Ramp,Transak) converts to FARAS token or stablecoin.
3. Smart contract calculates fare, executes payment and settles instantly.
4. Drivers can hold, stake or convert tokens to fiat through Cirkel or Ramp.



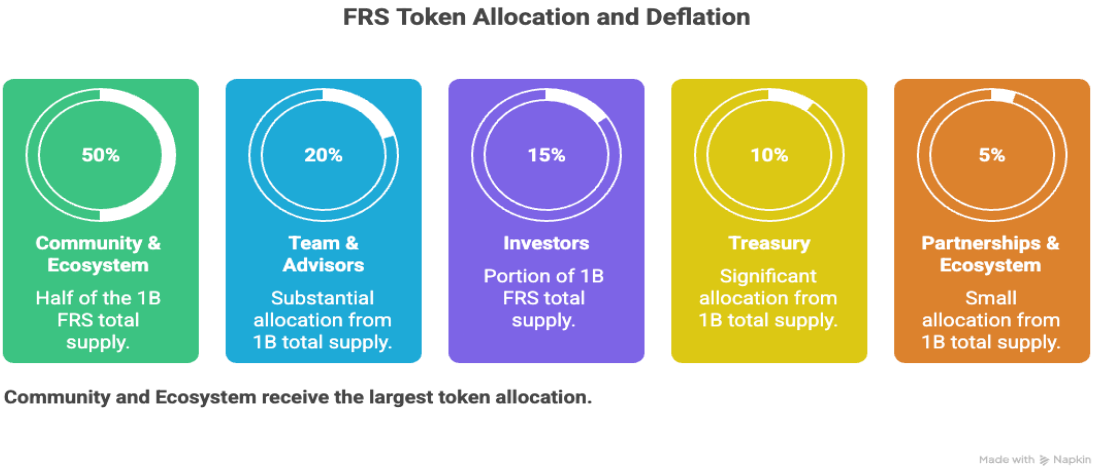
Token Overview

- Name: FARAS Token (FRS)
- Type: Utility + Governance

- Network: Polygon PoS
- Supply: 1,000,000,000 FRS
- Standard: ERC:20, MiCA “Other Crypto - Asset” classification.

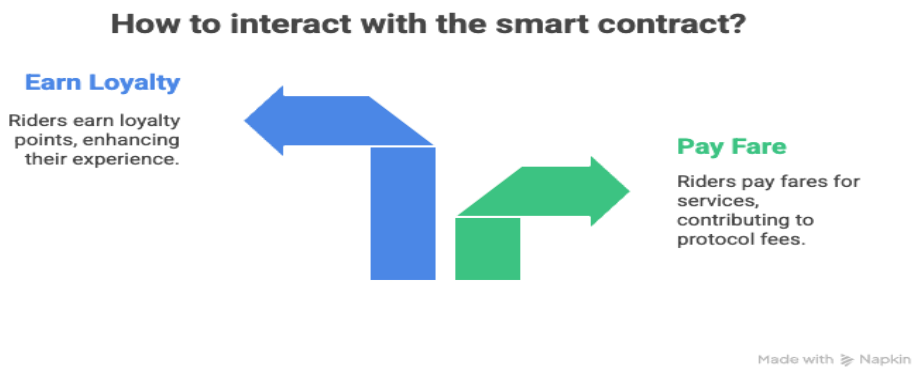
Token Distribution

Allocation	Share
Community & Ecosystem	50%
Team & Advisors	20%
Investors	15%
Treasury	10%
Partnerships	5%



Token Utility

- Earn: Drivers earn FRS each completed ride and riders earn loyalty FRS.
- Spend: Use FRS to pay for rides or access discounts (5-10%).
- Stake: Drivers stake for higher visibility and rewards.
- Govern: Token holders vote for protocol fees and policy.
- Convert: Regulated fiat on/off ramps for instant withdrawals.
- Deflation: 1% per transaction burned; 20% of fees burned quarterly.



4. Business model, Go-to-Market & Roadmap

Revenue Streams

- 5-10% transaction fee to DAO treasury
- Drivers staking for visibility
- SaaS licensing for local cooperatives
- GDPR-compliant analytics for city planners
- Treasury yield through regulated DeFi

Go-to-Market plan

Phase 1 - Sweden 2025:

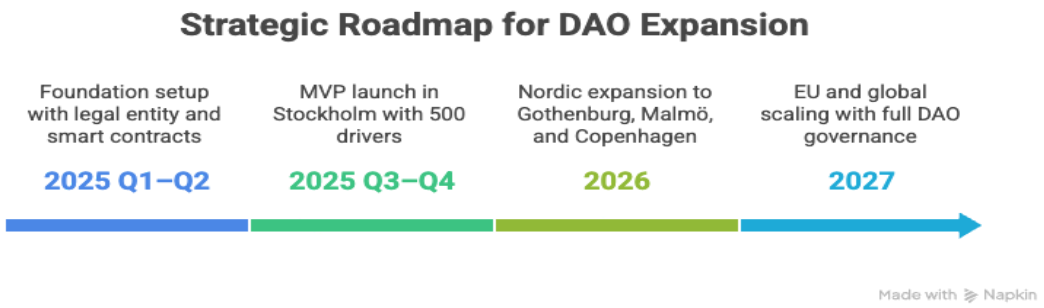
- Launch pilot in Stockholm with drivers and 10,000 riders.
- Zero commission for the first 3 months.
- Partnerships with Swedish taxi cooperatives.

Phase 2- Nordic Expansion 2026:

- Gothenburg, Malmö, Copenhagen.
- Insurance & EV-Charging partnerships.
- Local DAOs established.

Phase 3- EU Scaling 2027

- Germany, France, Netherlands and more.
- Full DAO governance rollout.
- White-label FARAS protocol for fleets.



Fundraising Strategy

Stage	Type	Purpose	Target
Pre-Seed (Q4 2025)	Equity	MVP + legal setup	€500K
Seed (Q2 2026)	Token sale	DAO + partnerships	€1.5M
Public Sale (Q4 2026)	Utility token	Expansion	€2–3M

Treasury allocation: 35% development, 20% operations, 15% marketing, 15% reserves, 10% legal, 5% audits.

5. Regulation, Security and Compliance

- MiCA 2023/1114: FARAS Token classified as a utility token.
- PSD2 2015/2366: Fiat payment integration through licensed gateways.
- GDPR 2026/679: Full data minimization, encrypted off-chain storage, user consent management.
- AML/KYC: Oracle-based verification and Travel Rule compliance.
- Transport Law: Cooperation with Swedish Transport Agency (Transportstyrelse).

Security

Smart contract audits, bug bounty program, multi-sig treasury and insurance coverage for digital assets.

Tax & Skatteverket Compliance

FARAS follows all **Swedish and EU tax laws** under **Skatteverket**, ensuring that every ride and token transaction is transparent and easy to report.

Type	Who	Tax Treatment	FARAS Action
Driver Income (Fiat)	Drivers	Taxed as normal income	Monthly SEK income summary
Driver Income (FRS Token)	Drivers	Valued in SEK on payout	Auto conversion for reporting
Capital Gains	Drivers/Investors	Taxed when tokens are sold	Exportable report for filing

Platform Fees	FARAS AB	VAT (6–25%)	On-chain accounting
Corporate Tax	FARAS AB	22% on profits	Annual filing with Skatteverket

FARAS automates SEK-based income reports, pays VAT and corporate tax, and ensures all driver earnings (fiat or token) can be reported directly to Skatteverket. It's as compliant as Uber — but more transparent thanks to blockchain.

6. Conclustion

FARAS is not just another ride-hailing app, it is a new social contract for mobility. It is built for fairness, compliance and long term sustainability. By combining blockchain transparency, EU regulation and user ownership, Faras can outgrow both Web2 giants and early Web3 experiments.The future for mobility is not just electric for autonomous but it is decentralized, community-owned and transparent.

FARAS: Your ride. Your rules. Your value.

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